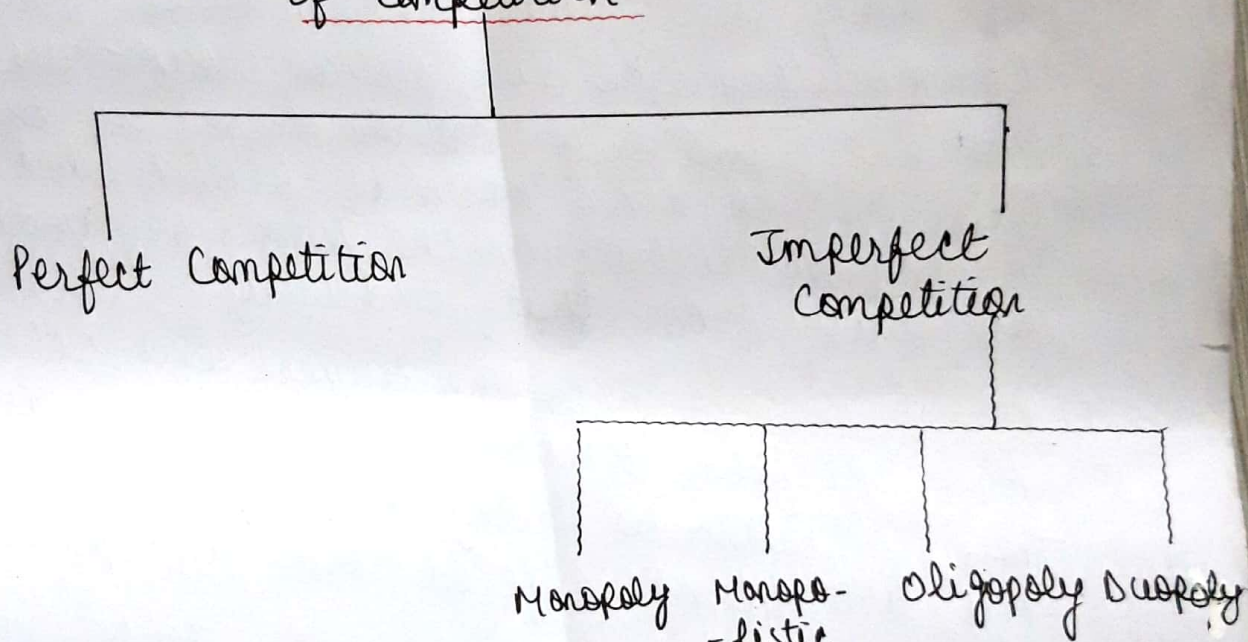


Module - 4 / Unit - 4Market structure and Pricing Policy

Market structure refers to the nature and degree of competition in the market for goods and services.

Market classification on the Basis of Competition



Perfect competition [seller is price taker]
" is not price maker]

A perfectly competitive market is one in which there are large number of buyers and sellers for homogeneous products without any restriction and possessing perfect knowledge of market at a time. for eg. fruits and vegetables market.

Features of Perfect competition.

- 1) Large number of Buyers and sellers. - There are large number of buyers and sellers in this type of market.
- 2) Homogeneous Products - The article produced by all firms should be exactly identical, as a result no buyer has any preference for the product of any individual seller over others. Commodities like salt, sugar, wheat are homogeneous.
- 3) Free entry and exit - All the firms in the industry will be earning normal profit, because there is no restriction on the firms regarding entry or exit from that industry.
- 4) Perfect Knowledge - The buyers and sellers should have perfect knowledge of the market. They should be fully aware about the prices that are being offered and accepted.
- 5) Absence of Transport cost - If the same price is to rule, it is necessary that no transport cost has to be incurred.
- 6) Absence of artificial restrictions - Sellers are free to sell their goods to any buyer and the buyer are free to buy from any seller. There is no discrimination of any kind.
- 7) Absence of selling cost - The cost of advertising, sales promotion etc do not arise because all firms produce homogeneous product.

Advantages of Perfect competition

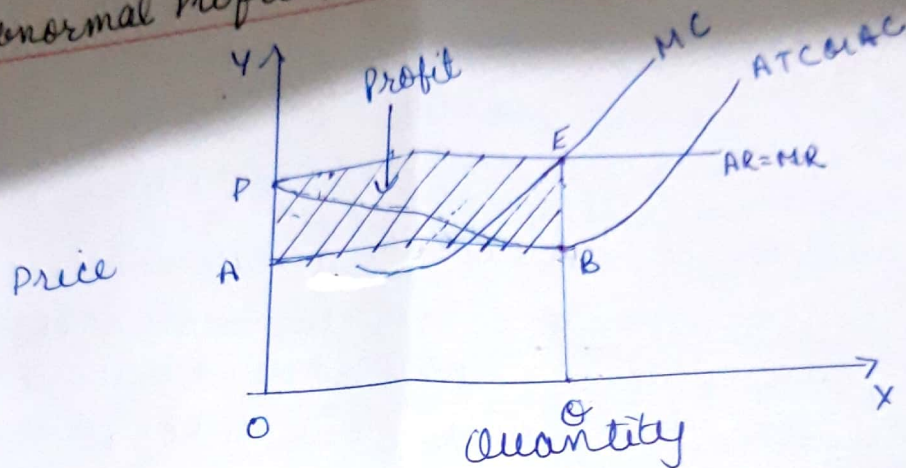
- 1) Beneficial to consumers: In this market the price is equal so it is beneficial to the consumers.
- 2) Cost saving: - As the firms are price takers and the products are homogenous there is no need of incurring expenditure on advertisement to promote sales. This also leads to reduction in wastage of resources.
- 3) Perfect knowledge: - The consumer is logical and he has perfect knowledge about the market conditions. Therefore, He will not purchase goods at higher price.

Disadvantages of perfect competition

- 1) Homogenous Products: Undifferentiated products give little choice to consumers. Differentiated products are very important in industries such as clothing.
- 2) Free flow to technology: As there is no patent kind of thing, there is no incentive to develop new technology because it would be shared with other companies.
- 3) Insufficient Profit: - There is lack of super profit earned by the industries in this market.

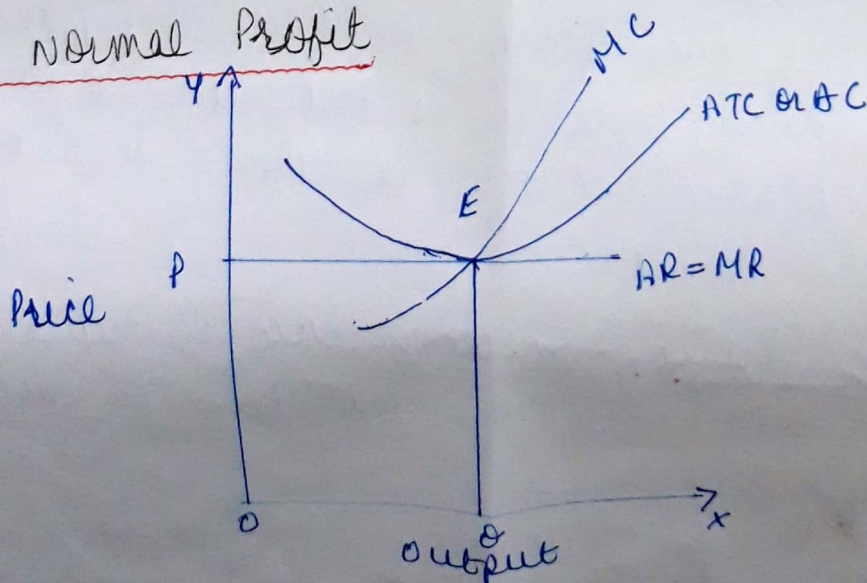
Price Determination and equilibrium of the firm in short run

1) Abnormal Profit / Super Normal Profit



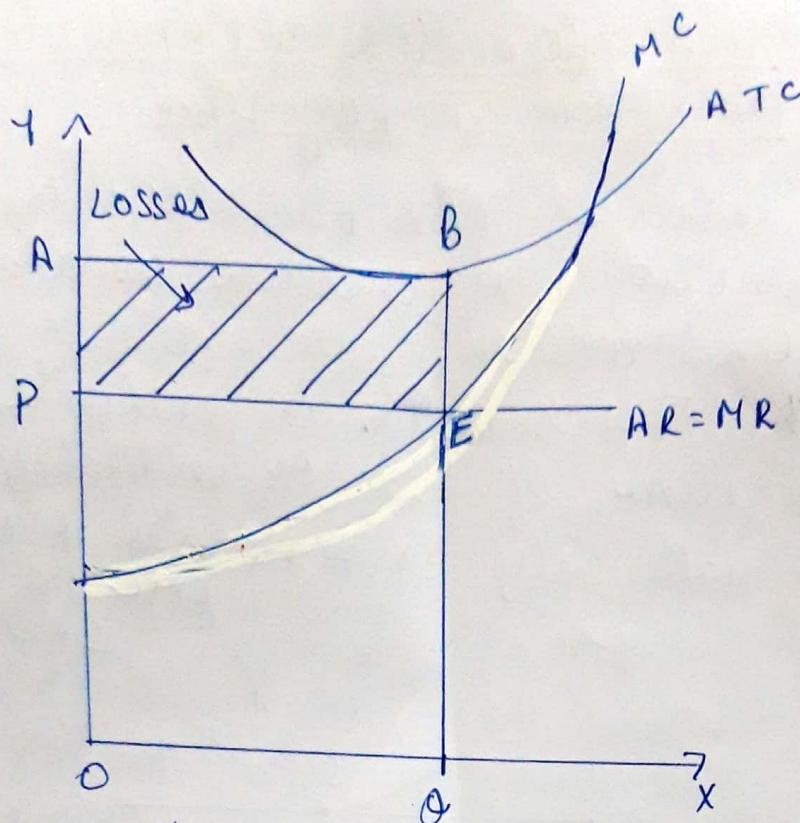
- 1) Equilibrium is at point E, MC ^{curve} intersects MR curve
- 2) At OP price, OQ is output
- 3) At OQ output EQ is AR, BQ is ~~ATC~~ AC. AR is average revenue, AC is Average Cost
- 4) $AR > AC$, firm gets abnormal profit, EB is abnormal profit ~~output~~ per unit
- 5) Abnormal profit PAEB.

2) Normal Profit



- 1) $AR = AC$, at normal profit stage
- 2) $MR = MC$ at E point
- 3) At OP price, OQ is output, $OP = EQ$
- 4) $AR = AC$
- 5) E is equilibrium

Losses



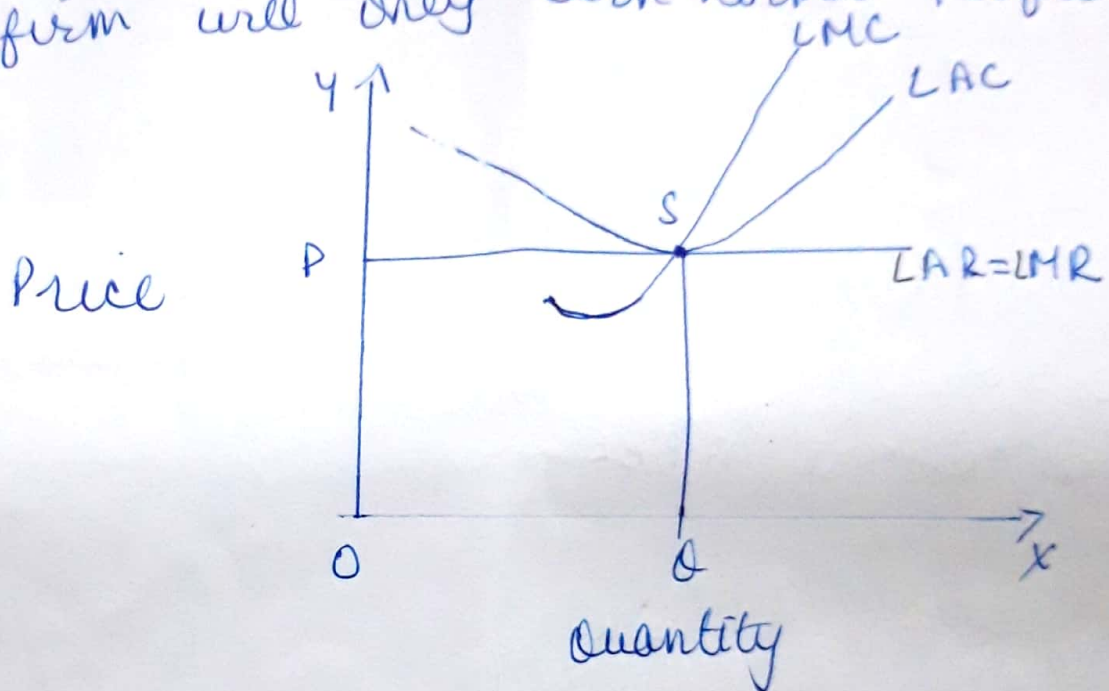
- (i) E is the equilibrium point
- (ii) $BQ > EQ$, firm is earning BE as loss per unit
- (iii) Total loss is APBE

Conclusion

- 1) $AR = AC$ normal profit
- 2) $AR < AC$ loss
- 3) $AR > AC$ abnormal profit

Price determination and equilibrium of the firm in long run.

With the entry of new producers, total supply of the commodity may increase, as a result, price per unit will fall. Consequently profit will vanish. This situation is known as long run equilibrium of firm or industry. In this the firm will only earn normal profit.



- (i) S is equilibrium point
- (ii) $AR = AC$, O is point
- (iii) At OP price SQ is quantity
- (iv) $MR = LMC = LAC = AR = \text{Price}$

Price Determination and equilibrium of the Industry in short run.

(4)

1) If all firms are in equilibrium, the industry is also in equilibrium.

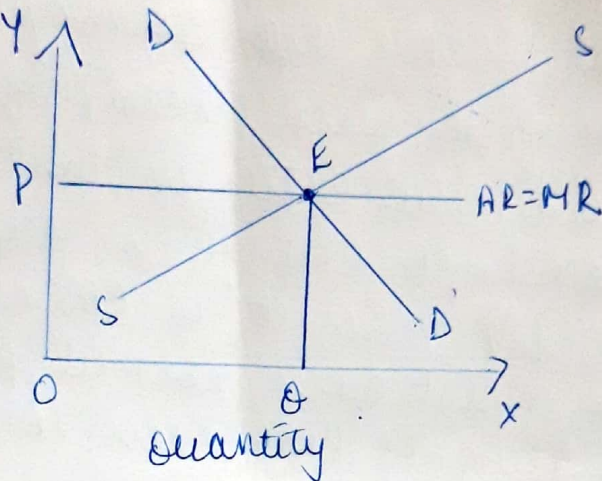
2) All firm ~~at~~ earn normal profit.

3) $SMC = MR = AR = SAC$

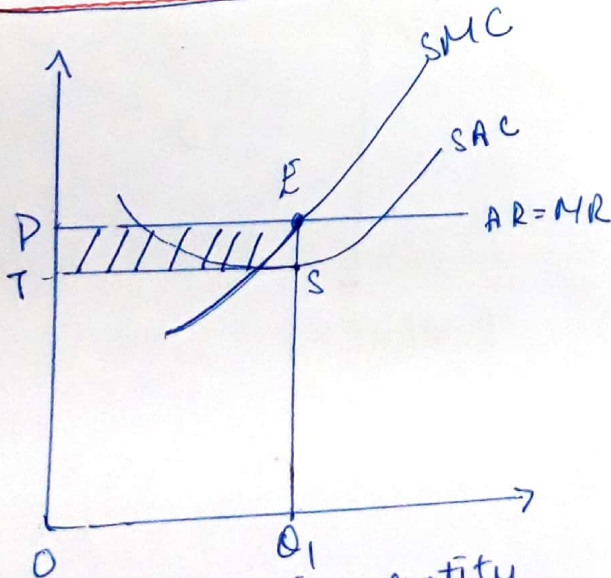
4) E is equilibrium

5) OP is price,
OQ is quantity
Price

6) Where Demand and Supply intersect, there is a point of Equilibrium.



Supernormal Profit

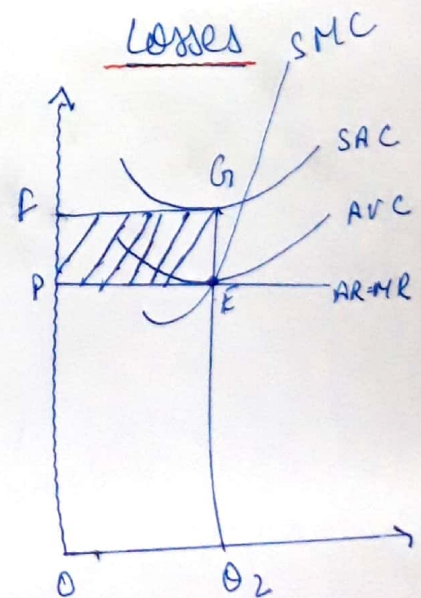


1) At OP price, OQ_1 is quantity

2) PTSE is Supernormal Profit " per unit

3) ES is

4) E is Equilibrium MC curve intersect MR.



1) EG AP is loss.

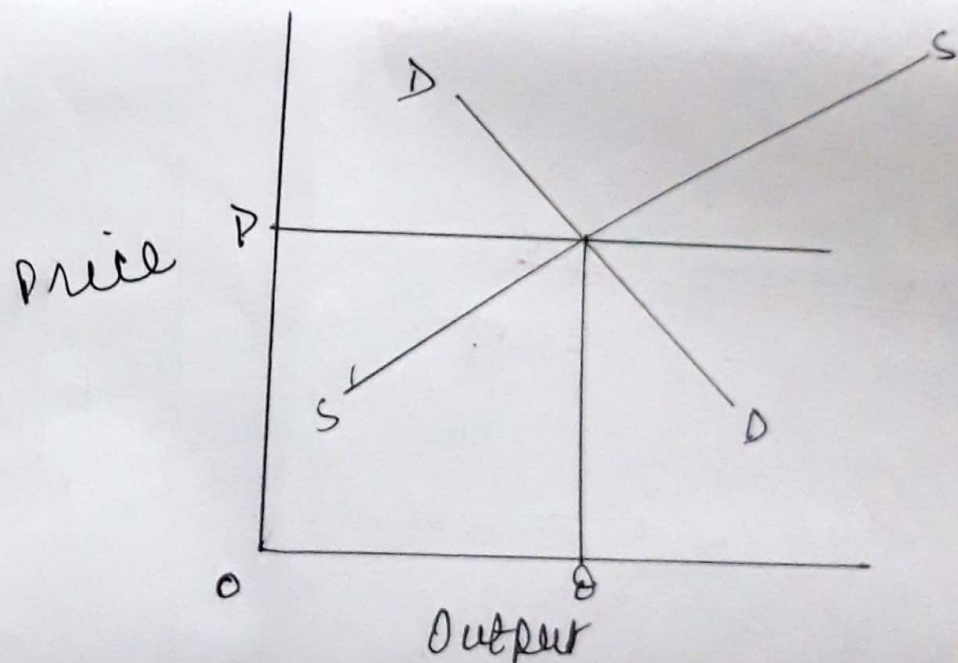
2) At OP price OQ_2 is output

3) $AR < AC$

4) $OQ_2 > OQ_1$, GE is loss per unit

Price Determination and equilibrium of the Industry in long run.

- ① All the firms must be producing and equilibrium level of output and $LAC = LMR$.
- ② All the firms are stable.
- ③ There is no entry/exit of the firm.
- ④ All the firms are earning normal profit.
- ⑤ If any firm earn excess profit, it would encourage new entry in the industry, which will lead to change in supply and MP in long run. So, it is essential that the firm must earn normal profit in this situation of long run to have equilibrium.



⑤

Monopoly [The firm is price maker not price taker]

It is a market condition in which there is a single seller of a product with barriers to entry of others.

Features of Monopoly

- 1) Single Producer and large number of buyers:- There is one single firm in the market for the product. The buyers are in large number.
- 2) No close substitutes - The firm produces a commodity, which does not have a close substitute. For eg. State has the monopoly to produce electricity and no other firm are allowed to do so. Thus the state has the monopoly.
- 3) Barrier to entry:- The entry to industry is completely banned.
- 4) Full control over price:- The person has full control over price fixation of the product.
- 5) Price discrimination:- The monopolist charge different price for the same product from different consumers.

Advantages of monopoly

- 1) Research and Development:- Successful research can be done to improve the product eg. medicines.
- 2) Competition for corporate control:- If a monopolist produces with low cost, fails to perform, then it may lead to takeover.

Disadvantage of monopoly

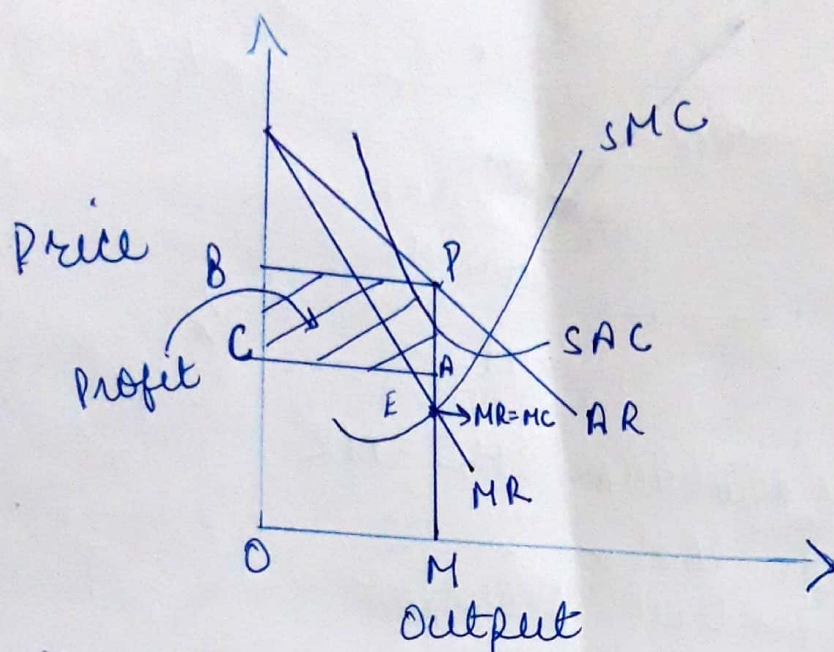
- 1) Price and cost: - Barriers to entry allow the monopolist to charge high price and make large profit ^{even} if it is not producing in the most efficient way.
- 2) Power and wealth: - The high profit and money power of monopolist may be socially undesirable. Large MNC's are often able to exert pressure on govt.

Types of monopoly

- 1) Natural monopoly: - If a supply of a commodity is localized in a single place, then it is called natural monopoly. It is the natural talent & skill of the producer to enjoy this right. EG. Iran & Iraq for petroleum, Bangladesh for jute, India for manganese.
- 2) Legal monopoly: - When the firm enjoys the right of patent, copyright etc. For eg. the right of note issue has ^{been} given by law to RBI.
- 3) Public monopoly: - When a monopoly is created for the interest of public. For eg. light, water, roadways, railways etc.
- 4) Private monopoly: - When it is owned and operated by private individuals for the purpose of getting maximum profit.

Monopoly Price during Short Run.

1) Super Normal Profit

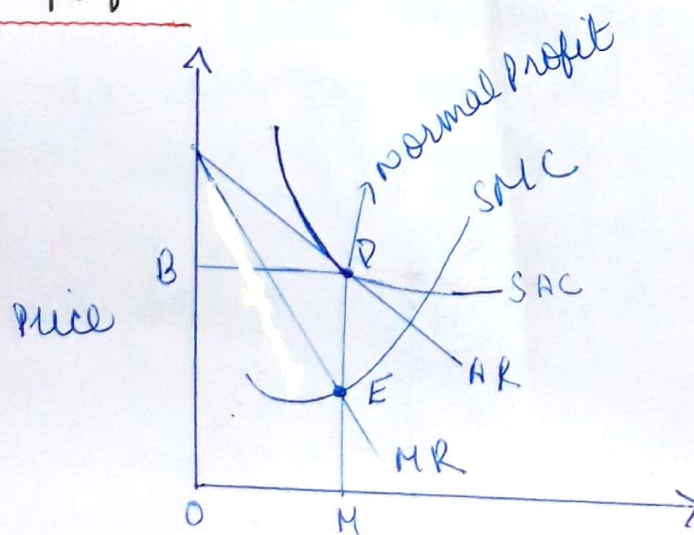


1) Equilibrium is at point E where MC cuts MR.

2) OB Price, OM is output

3) AP is profit per unit of output, CBPA is total profit

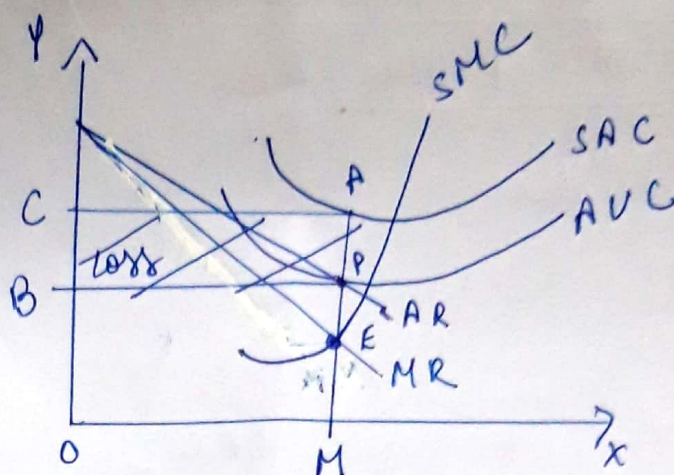
2) Normal Profit



1) E is equilibrium, $MR = MC$ Output

2) OB price, OM is output

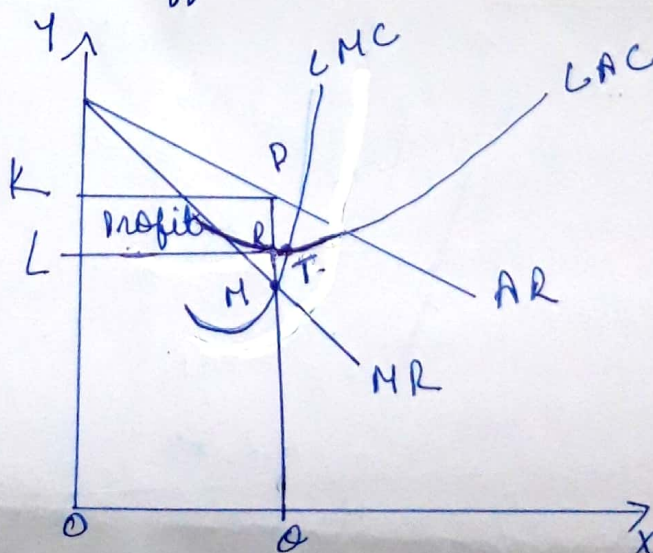
3) Minimum loss. (monopolist stop production), The firm close



- i) $AR < AC$
- ii) E is point of equilibrium $SMC = MR$
- iii) CBPA is total loss.
- iv) AP is loss per unit of output
- v) PE OB price, OM is output

Monopoly Price during long run.

- 1) The new firms are not allowed to enter.
- 2) Firms does not suffer loss in long run.



- 3) Equilibrium is at point M, MC intersect MR.
- 4) $AR > AC$
- 5) PE OK price OM is output
- 6) PR is per unit profit and KLRP is total profit.
- 7) $MC = AC$ at T point

Monopolistic competition [Firm is price maker]

It is a market structure in which the sellers do have a monopoly of their own product, but they are also subject to competitive pressure from seller of substitute product.

In other words, it is a market situation where there are many firms selling differentiated products.

Features:-

- 1) Large number of Sellers:- There are large number of sellers who have a small share in the market.
- 2) Product differentiation:- The product of different sellers are different on the basis of brand.
- 3) Freedom of entry or exit:- There is free entry and exit of firm.
- 4) Selling cost:- Where the product is differentiated selling cost like advertisement cost, salesman expenses, etc. are necessary to push up the sales.
- 5) Control Over Price:- Firms must have control over price. For eg. restaurants are price makers. They set price according to product. But if the price is very high product will not be sold.

Advantages of monopolistic competition.

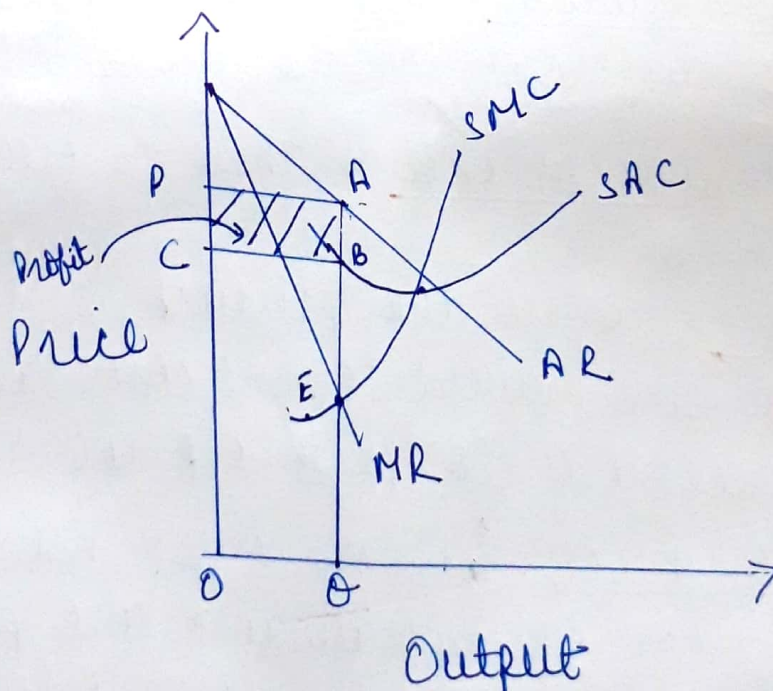
- 1) No barriers to entry
- 2) Differentiation creates choice and utility
- 3) It is innovative market

Disadvantages of monopolistic competition.

- 1) Some differentiated products do not create utility but generate unnecessary waste. For eg. excess packaging.

Short run equilibrium in Industry

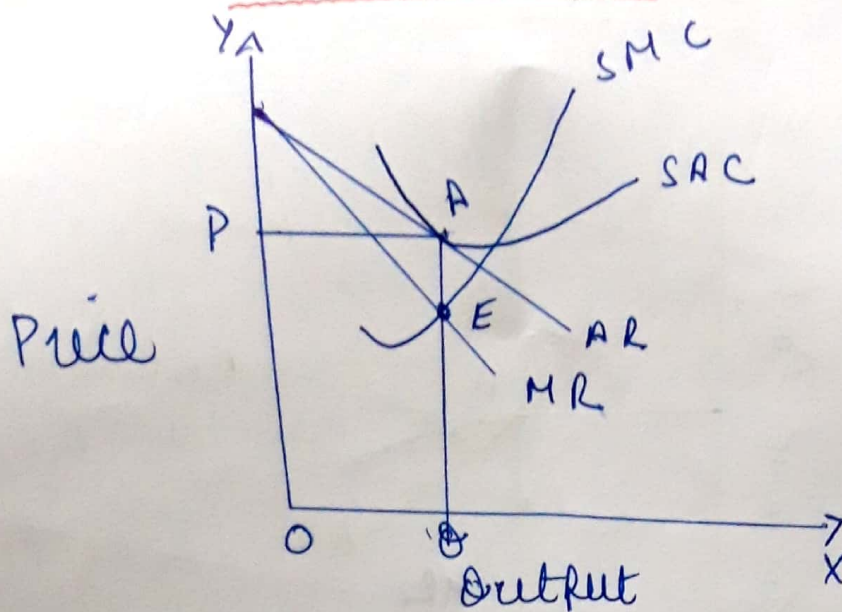
- 1) Abnormal/Super normal profit . $AR > AC$



- i) E is point of equilibrium.
- ii) At OP price OO' is output
- iii) PABC is profit
- iv) BA is profit per unit of output.

Normal Profit

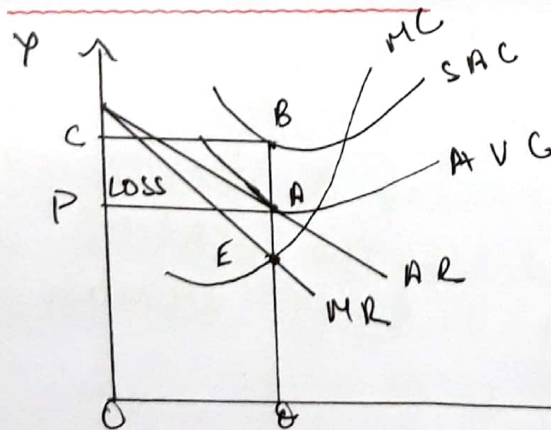
$$AC = AR$$



- i) At OP price OO is quantity
- ii) E is point of equilibrium $MC = MR$
- iii) A is the " of normal profit.

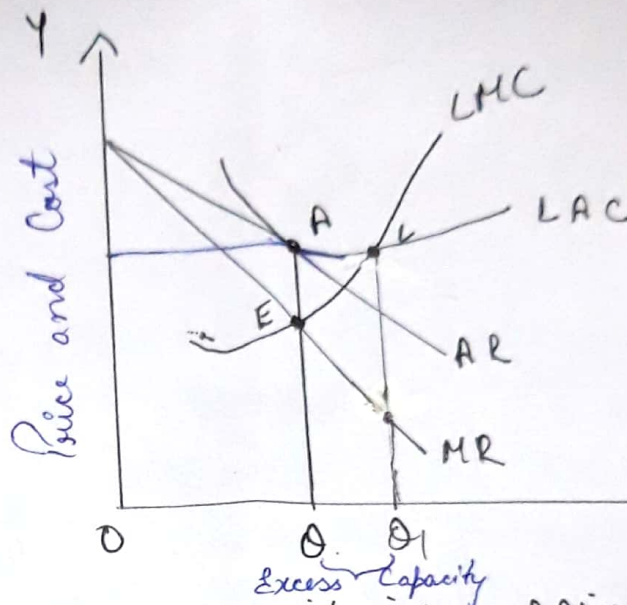
Minimum Loss

$$AC > AR$$



- i) E is point of equilibrium $MR = MC$
- ii) At OP price OO is quantity
- iii) If price is below OA, business will be closed.
- iv) CPAB is total loss, AB is loss per unit

Long Run Equilibrium of the Industry



- (i) E is long term equilibrium point $MC = MR$
- (ii) $OA = LAC$ at point A, each firm earns normal profit.
- (iii) No firm has tendency to enter or leave the firm.
- (iv) Profit goes up or decreasing as the total demand for the product will be shared among a large number of firms.

Oligopoly

An oligopoly is a market of only a few sellers, offering either homogeneous or differentiated products. There are so few sellers that they recognise their mutual dependence.

For eg.: cold drinks many but automobile manufacturing firms are few.

Features:-

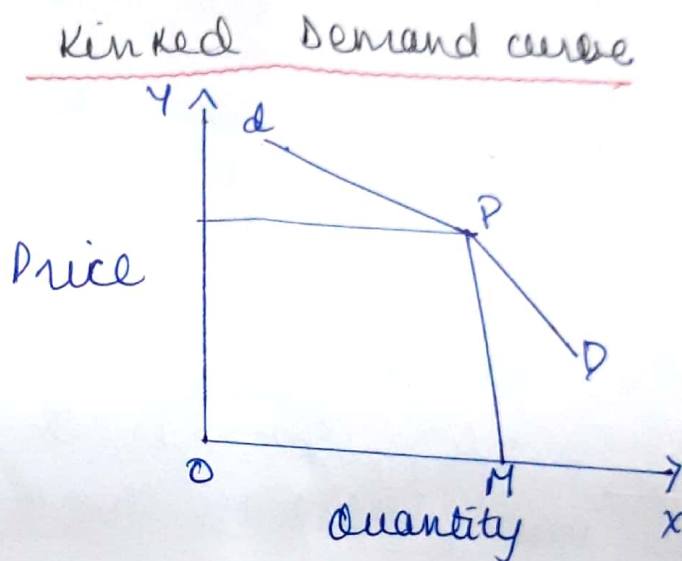
- 1) Interdependence:- The number of competitors are few any change in price, output by a firm will have direct effect on rivals. They may change their prices, output etc. Firms have to consider the reactions of other firms.
- 2) Selling cost:- Oligopolist has to use advertising weapon to gain share in the market.
- 3) Few sellers:- There are very few sellers, which means that every firm produces a significant fraction of the total output of the industry and each firm has impact on market.
- 4) Competition:- There is a very cut throat competition between firms.
- 5) Identical or Differentiated Products:- Oligopolist may produce identical or different products.
Identical eg. petroleum, steel
Differentiated eg. automobile, detergents etc.

Advantages of oligopoly:

- 1) Innovative, new product and process development
- 2) Price stability

Disadvantages of oligopoly

- 1) Reduces consumer choice
- 2) May lead to high price



- 1) A kinked demand curve DD at kink point P.
- 2) At OM output MP is price
- 3) DP is relatively elastic
- 4) DP is inelastic

DP means if the oligopolist lowers the price its competitor will follow him

DP if it raises the price the competitor will not follow him.

mer

Features		Perfect competition	Monopoly	Monopolistic	Oligopoly
1. No. of firms		Large	One	varied but not too many	Few
2. Nature of product		Homogeneous	One type	Product differentiated	Homogeneous/ Differentiated
3. Entry of firm		Free	No entry	Free	Restricted
4. Degree of monopoly power		Zero	Full	Limited	Limited due to product differentiated
5. Price Policy		Price-taker	Price maker	Price maker	Price maker
6. Market Knowledge		Complete	Incomplete	Incomplete	Incomplete
7. selling cost		No	small	Large	small
8. AR and MR		Equal	Different	Different	Different